



Cloud Computing How Far We've Come

Cloud computing offers a compelling value proposition and strong business potential. Read on to find out more...

Over a remarkably short period of time, cloud computing has emerged as a hugely important way that individuals and organisations use their IT resources. Conceptually, it can be thought of as building resource abstraction and control on top of the hardware abstraction already provided by virtualisation (although cloud computing doesn't always require virtualisation). We've also seen that beyond just improved efficiencies, the other benefits of cloud computing include increased organisational agility and global collaboration due to the faster access provided to IT resources. These are critical to driving innovation and growth.

According to Frost & Sullivan, the Asia Pacific cloud computing market (excluding Japan) is expected to grow over a five-year period to hit US\$ 5.8 billion by 2015. That is an astounding 39 per cent compound annual growth rate (CAGR), as compared to the region's overall information and communications technology market growth rate of only 7 per cent over the same period.

Cloud computing has proven to offer both a compelling value proposition and strong business potential. Technology

is deeply rooted in our everyday lives and its ability to influence the 'real world' must be recognised.

According to Forrester, cloud computing is already helping organisations lower energy costs, carbon emissions and e-waste (according to its study, 'Cloud Computing Helps Accelerate Green IT'). Therefore, choosing how to build the right cloud is perhaps the most strategic decision IT leaders will make this decade. It is a choice that can determine their organisation's competitiveness, flexibility, and IT economics for the next decade. As Forrester summarises, "Not only does the self-service and pay-as-you-go nature of cloud encourage users and applications teams to consume only what they need, but the IT infrastructure that is consumed is run in a highly shared, virtualised and utilised manner that drives IT efficiencies."

When the term 'cloud computing' was first coined, it described a computing utility. The clear historical analogy was electricity—generated by large service providers, delivered over a grid, and paid for when and how much was used. These 'public clouds' have compelling